

Logistics Operations Performance Report

Data-Driven Fleet, Route, & Customer Optimization Insights

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Executive Summary

This comprehensive performance report provides a macro-to-micro diagnostics analysis of nationwide logistics operations based on data derived from the core operational BI infrastructure. The business exhibits robust profitability with a baseline **Gross Margin of 65%** on **\$298.62M in Revenue**. However, substantial friction points within fleet utilization, facilities detention management, and account retention inhibit optimal scale.

The operation is primarily throttled by a low **On-Time Delivery (OTD) rate of 56%**, extreme asset downtime via **598.79K total idle hours**, and an unfulfilled revenue gap of **\$239.38M** against the operation's true market potential. This report breaks down specific operational leakages and details clear structural recommendations to recover lost margins.



Financial & Safety Performance Analysis

A deep-dive assessment of top-line financials reveals a stark variance between realized and theoretical capacities. The business left approximately **44.5% of its potential revenue unfulfilled**. This indicates that sales routing, load match efficiency, or fleet availability constraints prevent the capturing of available order books.

- **Driver Turnover Overhead:** Out of a pool of 150 drivers, 26 have been terminated, translating into a **17.3% driver turnover rate**. This introduces significant recruitment costs and training friction.
- **Safety Claims Cyclicity:** Total safety claim costs reached an intense peak in May (\$379K) and October (\$318K), while December dropped to an annual low of \$106K, indicating strong seasonal risk shifts or regulatory changes affecting transit safety conditions.

- **High-Risk Profiles:** While top drivers like Joseph Jones and Linda Davis successfully scale individual revenue past \$2.6M, high earners such as Richard Garcia are tied to massive safety outlays (\$50,128 in claim costs), representing an optimization tradeoff between speed and liability.

Fleet & Asset Optimization

Fleet operations balance a resilient structural deployment against extreme maintenance and idling inefficiencies. While the active asset framework stands strong at an 83% utilization factor, the underlying equipment lifecycle is impacted heavily by localized maintenance bottlenecks.

CRITICAL ASSET BREAKDOWN: THE IDLING & MAINTENANCE CRISIS

The fleet accumulated **598.79K total idle hours**. This persistent stationary state burns fuel non-productively, compounding total cost structures while inflating engine wear. Simultaneously, average maintenance downtime stands at **24.74 hours** per incident, driven largely by severe asset outliers such as truck TRK001080 (1,080 maintenance hours) and truck TRK000996 (996 maintenance hours).

In terms of safety liability, **Equipment Damage (\$741K)** and **DOT Violations (\$581K)** represent the highest direct incident expenses. This underscores a systemic gap in preventative compliance and vehicle field safety.

Route, Facilities & Delivery Performance

Out of 171K total deliveries executed, **76K were logged as late deliveries**, establishing that the 44% OTD failure rate is a critical structural issue across regional lanes rather than random isolated disruptions.

Top Bottleneck Fulfillment Cities	Avg Detention Time (Mins)	Primary High-Volume Hubs	Total Completed Volume
Indianapolis, IN	106 Minutes	Kansas City	14.6K Deliveries
Los Angeles, CA	101 Minutes	Philadelphia	12.0K Deliveries
Denver, CO	101 Minutes	Portland	11.8K Deliveries
Detroit, MI	92 Minutes	Seattle	11.8K Deliveries

The data directly maps the root cause of these delays to terminal facilities. The **Indianapolis Warehouse** forces drivers into an average of **93.60 minutes of detention time**, closely followed by the **Phoenix Distribution Center (93.02 mins)**. Extended yard stay directly translates to missed delivery windows on subsequent legs.

Customer Portfolio & Vertical Health Analysis

The customer account distribution is structurally sound, spread evenly across Contract (75 accounts), Spot (63 accounts), and Dedicated (62 accounts) relationships. This insulates the operation from localized pricing shocks. Dry Van loads continue to act as the primary volume driver across top tier clients such as First Group and First Logistics.

However, severe revenue leakage is observed inside key accounts. The Automotive vertical dominates active revenue at \$47M, followed by Food/Beverage at \$42M. Crucially, the **Retail vertical holds \$12M locked in "Inactive" account status**. This presents an urgent churn recovery target, along with another \$8M in inactive Automotive accounts.

Strategic Recommendations & Optimization Roadmap

1. Implement Automated Engine Idle Intercepts

Deploy strict geofenced engine shut-off protocols and integrate Auxiliary Power Units (APUs) to combat the 598.79K idle hours. This measure will immediately reduce fuel overheads and preserve asset lifecycles.

2. Enforce Strict Facility Demurrage Fees

Establish contractual detention penalties (demurrage charges) targeting shippers and receivers in Indianapolis and Los Angeles whose processing times breach the 90-minute threshold. This will incentivize faster turnarounds and directly raise the 56% OTD rate.

3. Introduce an Asset Rationalization & Preventative Program

Isolate and retire or thoroughly overhaul chronic maintenance-drained trucks (e.g., TRK001080). Shift fleet management toward proactive preventative diagnostics to lower the \$741K equipment damage burden and minimize DOT violations.

4. Deploy a Focused Account Clawback Campaign

Task the Account Management team with launching a targeted re-engagement strategy focused on the \$12M inactive Retail and \$8M inactive Automotive portfolios to narrow the gap toward the true \$538M capacity ceiling.